

PM Planning with Adam (6/5/2025)

News for Today

- Initial Jobless Claims Actual (247K) Forecast (236K) Previous (239K) (8:30AM)
- Continuing Jobless Claims Actual (1,904K) Forecast (1,910K) Previous (1,907K) (8:30AM)
- Nonfarm Productivity (QoQ) (Q1) Actual (-1.5%) Forecast (-0.8%) Previous (-1.7%) (8:30AM)
- Atlanta Fed GDPNow (Q2) Forecast (4.6%) Previous (4.6%) (1:00PM)
- Apple (\$AAPL) -0.2%: Taps India's Tata Group to handle iPhone/MacBook repairs as it leans deeper into its fastest-growing market.
- Nvidia (\$NVDA) -0.2%: Still BofA's top AI chip play, but investor nerves linger over China exposure.
- Procter & Gamble (\$PG) +0.1%: Plans to cut 7,000 jobs (~15% of non-manufacturing roles) in a sweeping two-year overhaul.
- Vermilion Energy (\$VET) +0.2%: Selling U.S. assets for \$120M, likely reallocating to higher-margin plays.
- Uber (\$UBER) +0.7%: Adds Nikesh Arora (Palo Alto Networks CEO) to its board — a tech-heavy move as it eyes future growth.
- Humana (\$HUM) +0.9%: Will support reforms to limit billing practices, potentially easing industry scrutiny.
- Five Below (\$FIVE) +6.3%: Crushed Q1 and issued upbeat Q2 guidance — strong across most product categories.
- MongoDB (\$MDB) +16%: Beat on earnings, raised guidance, and expanded its stock buyback — triple win.
- Verint Systems (\$VRNT) +18%: Smashed earnings expectations on strong demand for its consumer engagement software.

Soft Signals

- ECB cuts interest rates by 25bps to 2.0%, as expected
First cut since September 2019, eighth rate move in the cycle
No clear guidance on future cuts — ECB cautious despite inflation cooling
 - Growth outlook stays muted
2025 GDP projection unchanged at +0.9%
🔍 ECB says Q1 beat expectations but the rest of 2025 looks “weaker”
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Neutral to Slightly Positive

- Inflation outlook lowered
Headline 2025 inflation forecast cut to 2.0% (from 2.3%)
Core inflation fell to 2.3% in May (from 2.7%) — services + energy dragged
 - Policy “pause” now in play
With inflation at target, July pause is likely
Economists see *one more cut possible by year-end*, risks tilted to the downside
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Underlying Strengths

- Long-term tailwinds noted
 - ECB flags that defense and infrastructure spending may lift medium-term growth
 - Trade tension and tariffs still a short-term drag, esp. with Trump's "reciprocal" EU levies
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What's next: Lagarde presser @ 08:45 ET

- 🔄 Expect her to underline uncertainty and avoid committing to further cuts
 - 💡 "Two-way risks" to inflation outlook will be the dominant narrative
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Nvidia: Still the AI King – Despite China Hit

AI Strength Still Dominates

- BofA: "Still best-positioned chipmaker for AI."
 - Despite guidance cuts, BofA keeps NVDA as a "Top Pick" with a \$180 PT
 - Stock is +2.6% YTD even amid broad tech volatility
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China Concerns Officially “De-risked”

- No China revenue factored into current guidance
 - H20 chip restrictions cost ~\$2.5B in Q1
 - ~\$8M sales lost expected in current quarter
 - China’s \$50B TAM now seen as *incremental upside only*
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Global Expansion Offsets China Drag

- Trump lifts AI diffusion rule, expanding international opportunities
 - Nvidia signs deals in UAE + Saudi Arabia, including:
 - 10-square mile data center in UAE
 - Broader regional AI partnerships
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Recent Numbers

- Q1 sales topped expectations as buyers front-ran export rules
 - Data center revenue in China down
 - Investor dinner notes show confidence: long-term view intact
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Stock Snapshot

- Close: \$141.92
 - BofA Price Target: \$180
 - YTD Performance: +2.6%
 - China risk "fully de-risked" per company and BofA
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Adam's Watchlist

- \$QQQ: Looking to go long off the 531.46's KL for a push up into the 533.78's KL. If we start to break below, I'll be looking to go short off the 529.21's KL for a push down into the 526.08's KL.
 - \$FIVE: Looking to go long off the 132.66's KL for a push up into the 139.19's KL.
 - \$TXN: Looking to go long off the 193.73's KL for a push up into the 197.86's KL.
 - \$WMT: Looking to go long off the 100's KL for a push up into the 102.57's KL.
 - \$PLTR: Looking to go long off the 130.60's KL for a push up into the 133.49's KL.
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COMMUNITY WATCHLIST

- \$META: Looking to go long off the 692's KL for a push up into the 699's KL.
 - \$GOOG: Looking to go long off the 172.39's KL for a push up into the 173.50's KL.
 - \$CVS: Looking to go long off the 64's KL for a push up into the 65's KL.
 - \$MCTR: Looking to go long off the 22's KL for a push up into the 24's KL.
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